

INTERCONTINENTAL EXCHANGE ICE

April 13, 2025 - 12:46pm EST
by

FishTaco

			2025	2026
Price:	155.91	EPS	7.01	8.34
Shares Out. (in M):	574	P/E	22.2	18.7
Market Cap (in \$M):	90,000	P/FCF	17.2	14.9
Net Debt (in \$M):	20,000	EBIT	6,217	7,069
TEV (in \$M):	110,000	TEV/EBIT	17.8	15.6

Description

During times of material market and economic dislocation, there are two types of ideas I tend to gravitate toward: quality businesses that can grow regardless of the climate and sport an acceptable valuation; and highly impacted businesses trading at trough multiples of trough earnings that provide lots of torque to a normalized environment. Intercontinental Exchange (ICE) fits squarely in the first bucket. Think of this as a GARP name that can continue to compound even if tariffs knock the wind out of economic growth for a time.

Situation Overview

ICE is a compilation of a number of monopoly and duopoly businesses that have been brought together over the last 20 years through M&A deals both big and small. ICE's Exchange business, its largest and most profitable, is positioned to take share within the trading of Brent crude and natural gas futures, leading to quickening growth and expanding margins. ICE's most recent acquisitions – those of Ellie Mae and Black Knight – have turned the company into a behemoth in the mortgage market that has yet to flex its muscles. ICE's typical approach to M&A involves bolstering the tech platform of acquired businesses so it can integrate services offerings and cross-sell new products across the ICE ecosystem, and taking a hatchet to bloated cost structures (because ICE typically buys monopolies and duopolies, there tends to be a lot of dead weight that can be excised without an impact on revenue). The Black Knight acquisition fits this mold perfectly while also being highly complementary to ICE's existing Ellie Mae business (bought in Sept. 2020). The Black Knight deal closed in September 2023, so this process is in the early stages, but it is already bearing considerable fruit in the form of numerous material new customer wins. All of this is taking place in the context of a mortgage origination market that is at its lowest levels since the late 1990s. Over the next few years, ICE will see the compounding benefits of market share gains in a rebounding end market, which should lead to substantial revenue acceleration and margin expansion. With two of its three segments poised to outperform, ICE should see earnings growth accelerate to the mid-to-high teens from high-single digit CAGR it experienced over the last 5 years. We are 11% above consensus EPS numbers in 2026 and 18% in 2027. Upside on a modest rebound in mortgage refis is around 34%, and I peg downside around 14%, resulting in a 2x risk/reward at today's price.

One note: part of the attractiveness of exchange businesses in times of market volatility is that they explicitly benefit from that volatility via elevated average daily volumes ("ADV"). This idea is not predicated on ICE sustaining the dramatically elevated levels of ADV from the last week or two (which are up ~100% from the 1Q25 run-rate). The recent elevated volumes will obviously benefit the current quarter, but 1) we do not model them being sustained even in the current year; and 2) we (nor likely no other investors) are not going to put a multiple on these sort of spikes.

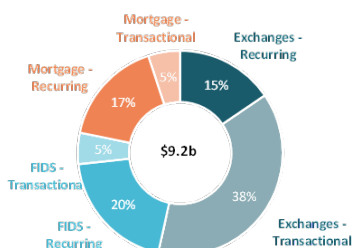
Business Description

ICE operates a number of businesses that are reported as three segments: Exchanges; Fixed Income and Data Services ("FIDS"); and Mortgage Technology. These businesses tend to have several commonalities: 1) they provide a digital solution to historically analog business processes; 2) they are mission-critical for customers; 3) they are platform-oriented with the opportunity for layering on additional services; 4) ICE has typically found ways to monetize the "exhaust" coming off its platforms in the form of data & analytics revenue streams; 5) they tend to be monopolies or oligopolies that benefit from multiple competitive advantages; and 6) they are capital-light with high incremental margins. Lastly, most of ICE's businesses have a combination of both predictable, recurring revenue streams (52% of total 2024 revenue) and transactional ones (48% of total).

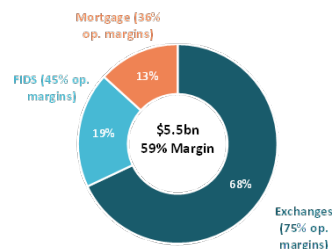
The charts below give a sense of the relative sizes, revenue complexion, and profitability of ICE's segments. Beyond that is a brief overview of each segment.

Exhibit 1 –Revenue and Operating income by Segment

Revenue by Segment

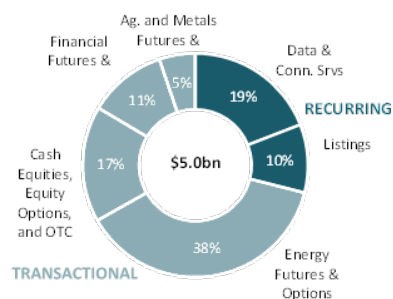


Operating Income by Segment



Exchanges (53% of revenue / 29% recurring / 75% operating margins)

Exhibit 2 – Exchange Revenue Breakdown



ICE operates 13 regulated exchanges and 6 clearinghouses in major markets across the globe, including the NYSE. ICE's venues are the premier markets for the trading of Brent crude and related oil futures, Dutch TTF Nat Gas (the dominant European contract), and other energy-related products (38% of segment revenue); European (and other) interest rate futures (11%); futures and options for sugar, cotton, and other commodities (5%); futures and options related to NYSE, ICE, MSCI, and FTSE index-related products, and cash equities (17%). In each case, ICE earns a small fee (revenue per contract or "RPC") for each contract traded and interest on clearing assets held. The segment also includes listing fees (10%) from the NYSE and data and connectivity services revenue (19%). ICE Exchange's recurring and transactional revenues have grown at a 4% and 10% CAGR over the last 5 years, for a total revenue CAGR of 8%, with incremental margins of 88%.

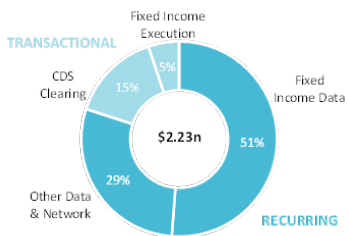
To understand ICE's Exchanges business, it is helpful to establish some basic definitions. A futures contract is a legally binding agreement to purchase or sell a commodity for delivery in the future at a determined price. An options contract, by comparison, provides its holder with a right but not an obligation to buy or sell an underlying security or commodity in the future at a determined price. In both cases, these securities are traded on exchanges, which are simply a central marketplace with established rules and regulations where buyers and sellers meet to trade securities. Because futures and options contracts are predicated on another party providing economic value in the future, the buyer or seller is inherently exposed to counterparty risk. Clearinghouses mitigate this risk by guaranteeing the obligations of their clients. They do this by establishing a default fund capitalized by the clearinghouse and clearinghouse members. Additionally, market participants are required to post margin collateral at the initiation of a position and may be required to contribute additional collateral if the position moves against them, creating a greater risk of loss.

Futures and options exchanges and clearinghouses are highly attractive businesses. Exchanges in general are high-quality businesses in that they benefit from network effects as they scale – the more buyers and sellers utilizing an exchange, the better the liquidity of its markets and the tighter the bid/ask spreads of the securities traded on it, thus attracting more buyers and sellers still – and have very little marginal cost associated with each incremental dollar of revenue earned. Futures and options exchanges enjoy these same network effects but also benefit from the fact that all of the securities transacted on the exchange are proprietary to that exchange. For example, a trader cannot open an ICE TTF Nat Gas futures contract at ICE Endex and then sell that contract at a competitor's venue. While it is true that competitors offer similar contracts to those offered by ICE, the two are not fungible in the way common stock is. Further, because any buyer or seller must post margin collateral for their positions at the exchange's related clearinghouse, there is an incentive for that buyer or seller to place its other trades at the same venue so that collateral obligations can offset one another. For example, a trader who is long TTF Nat Gas futures and short WTI, both at ICE, would be required to post margin that reflects the netting of its two directionally opposite positions. By contrast, a trader who was long TTF at an ICE venue and short TWI at a competitor's venue, would need to post collateral at each venue's related clearinghouse as neither would recognize the offsetting risk held by the other, reducing the return on capital of the positions.

ICE Exchange's largest competitor is CME Group (CME), which owns the Chicago Mercantile Exchange, the Chicago Board of Trade, and the New York Mercantile Exchange, among others. Both CME and ICE offer similar products but each has areas of strength. For example, ICE dominates contracts for Brent crude oil (the dominant global oil marker), TTF Nat Gas (the primary European marker for nat gas), and European interest rates, while CME has a leading position in contracts for U.S. interest rates, West Texas Intermediate oil ("WTI", the primary domestic oil marker), and Henry Hub nat gas (the primary U.S. nat gas marker). In cash equities and listings, ICE's NYSE primarily competes with Nasdaq (NDAQ) in the United States and the London Stock Exchange, Euronext, Shanghai Stock Exchange and Hong Kong Stock Exchange abroad.

Fixed Income & Data Services ("FIDS") (25% of revenue / 80% recurring / 45% operating margins)

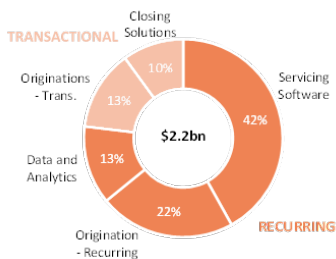
Exhibit 3 – FIDS Revenue Breakdown



ICE offers a variety of services around the lifecycle of a bond trade. The biggest pieces of this segment (80% of segment revenue) are ICE's fixed income pricing data, analytics, indices, and ESG offering. ICE Credit Clear, the largest credit default swap ("CDS") clearinghouse in the world, accounts for another 15% of revenue, and fixed income trading execution makes up the last 5%. ICE got into FIDS via the 2015 acquisition of Interactive Data Corp, the largest provider of fixed income pricing, reference data, and analytics with 3 million securities covered. It then acquired BofA/Merrill's Index business, making it the second largest fixed income index platform in the world, with north of \$600bn of assets benchmarked to it. The pricing, data, and analytics pieces of the business compete with Bloomberg and Refinitiv; the fixed income execution piece of the business competes with Tradeweb (TW) and MarketAxess (MKTX). Recurring and transactional revenues have grown at a 5% and 9% CAGR over the last 5 years, for a total revenue CAGR of 6%, with incremental margins of 67%.

Mortgage Technology (22% of revenue / 77% recurring / 36% operating margins)

Exhibit 4 – Mortgage Revenue Breakdown



For the last 7 years, ICE has been piecing together a collection of assets to digitize the analog process of originating, closing, servicing, and foreclosing on mortgages. ICE's most significant acquisitions in the space to-date were its 2020 purchase of Ellie Mae, the leading provider of loan origination system ("LOS") software and the 2023 acquisition of Black Knight, the leading provider of mortgage servicing software. Today, Black Knight's Mortgage Servicing Platform ("MSP") (42% of segment revenue) and Ellie Mae's Encompass software (45%) form the majority of the business, though there are several smaller components as well, including MERS, a system of record for reporting changes in mortgage servicing and ownership information to municipalities; Simplifile, a network that connects agents, jurisdictions, and lenders; and Data & Document Automation ("DDA"), a tool for automatically ingesting the information used to populate loan files. ICE's primary goal in assembling these assets is to bring efficiency and cost savings to what continues to be an expensive and time-consuming process. According to Freddie Mac and the Mortgage Bankers Association, the cost to produce a mortgage today is \$11,000, with two-thirds of those costs personnel expenses. ICE believes that through technology, it can dramatically reduce those costs, thus improving the razor-thin margins banks and other originators earn on each loan.

On the servicing side of the business, ICE charges an annual fee per loan serviced and incremental per-loan charges for foreclosures. For origination software, ICE charges a fixed recurring fee based on the number of users as well as a per-loan fee on the number of loans originated through the system. ICE also earns a take-rate on third-party goods and services sold through its ICE Mortgage Technology network, which connects vendors to the Ellie Mae and Black Knight platforms. The two primary drivers of variable revenue - Loan originations and foreclosures - are at or near their lowest levels in the last 20 years.

On the origination side of the business, ICE has ~50% market share, mostly among smaller originators. Historically, ICE's biggest competitor was Black Knight's Empower business (12% share, mostly of larger originators), which ICE was forced to sell to Constellation Software to get FTC approval for the deal. The rest of the market is mostly home-grown solutions. On the servicing side of the business, ICE services ~62% of all first-lien mortgages and 54% of total mortgages. Sagent, a business spun out of Fiserv (FI), has 15% - 20% share. The rest are home-grown solutions. On a pro forma basis, recurring revenue has grown at a 1% CAGR over the last three years while transactional and total revenues declined at a 22% and 7% CAGR against industry-wide originations that have declined at a 39% CAGR; decremental margins have been 70%.

Thesis

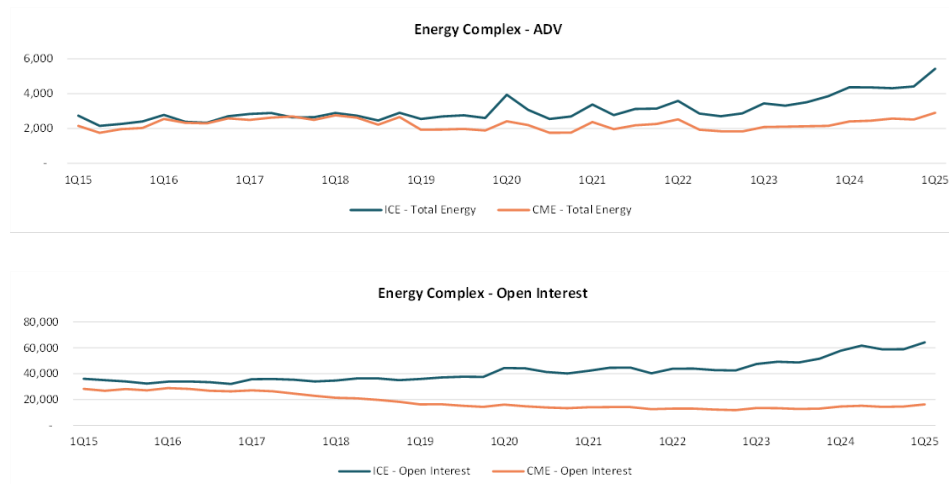
Like other exchange peers such as CME, CBOE, NDAQ, and LSE, the market largely recognizes the wide-moat nature of ICE's business. As a group, exchanges have some of the best operating margins in the public markets, and there are no obvious competitive threats on the horizon. That said, they tend to be viewed as relatively low growth and overly exposed to transactional – and thus less predictable – streams of revenue. For this reason, they have long garnered earnings multiples below those of their business services peers, which share similar oligopolistic and monopolistic competitive positioning and modest growth characteristics but have more predictable revenue streams. In the case of ICE, we think this framework is outdated and misses some of the substantial changes taking place below the surface of ICE's business, specifically that underlying changes in the size and structure of the LNG and Brent markets are likely to drive supernormal levels of trading volume at ICE's Exchanges over the coming years; and that the combination of Ellie Mae and Black Knight is poised to drive an acceleration in Mortgage Technology revenue growth at very high incremental margins even as mortgage origination volumes should provide a cyclical recovery in the business.

- **ICE is enjoying a structural share shift in the oil futures market that will drive continued strength (above consensus) in Average Daily Volume ("ADV") and Exchange revenue.** As described above, ICE and CME operate the primary venues for oil-related futures and options, with ICE owning the dominant venue for trading in Brent crude, and CME that of WTI. Though each offers a full range of oil-based contracts, including ones for Brent, WTI, and numerous regional and spread-related variants, because of the network effects attendant to exchanges, volume increasingly begets volume, thus leading to a clear leader in each type of contract. For example, over the last several years, ICE has had an average of 93% market share of Brent-related contracts. CME, by comparison, has averaged 81% of WTI contracts. However, volumes across the oil complex are increasingly shifting to ICE due to the proliferation and growing complexity of global oil flows (aided by increasingly specific regional contracts introduced by ICE); and the May 2023 inclusion of WTI in the composition of the Brent benchmark.

A quick primer: Brent originally referred to a particular variety of oil produced in the North Sea. Over time, as those volumes dwindled, S&P's Platts, the entity that prices the Brent marker, has included oil volumes produced in other regions to supplement the North Sea volume. Today, "Brent" has little relation to its original form and instead is an index of seaborne oil comprised of many different varieties. In May 2023, WTI was included in the Brent index. Because the U.S. is the world's marginal producer of oil, the price of Brent is often a reflection of WTI's price.

Why do these two things matter? In the case of the proliferation and complexity of global oil flows, the more commercial and financial participants there are in the market, the more volume in Brent and related contracts. ICE has done a good job of leaning into a healthy demand backdrop by introducing contracts specific to certain regions, the Middle East for example, to broaden its portfolio of products and give customers a specific contract to suit their needs, and thereby capture both the volume and pricing attendant to a more efficient contract for the customer. In the case of the inclusion of WTI into Brent, because the price of Brent is now in part related to the price of WTI, market participants who historically might have dealt primarily in Brent must now increasingly also participate in the WTI market. And as mentioned above, given the nature of clearinghouse capital requirements, the most capital efficient and economical way to trade is at a single venue. As a result, ICE is increasingly seeing volume and open interest shift to its venues. In the last three-and-a-half years, ICE has grown its share of WTI contracts from 17% in 2021 to 26%, a 50% increase. As a result of this and ICE's success in the nat gas market (more below) ICE is outgrowing CME in both total energy complex ADV and open interest, a measure of the total number of contracts open on the exchange at any given time (see Exhibit 5 below).

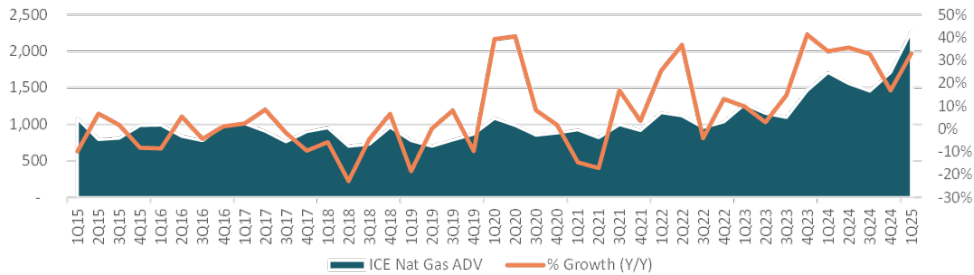
Exhibit 5 – ICE's Energy Complex Continues to Outpace CME's in ADV and Open Interest



- **The globalization of natural gas and liquified natural gas ("LNG") should drive continued supernormal growth in energy volumes.** From 2Q14 to 2Q19, ICE's Nat Gas ADV grew at a CAGR of 1%. In the five years since 2Q19 the CAGR has been 15%, with ADV up 30% over the last year (see Exhibit 6 below). This acceleration owes largely to the proliferation of LNG exports globally, including the commencement of U.S. nat gas exports, the decommissioning of legacy coal-fired plants, and the disruptions to the European energy market caused by the conflict in Ukraine, which prompted an entire continent to seek new sources of energy. As the global supply and demand of LNG has increased, so has the complexity of the global supply

chain. Whereas 10 years ago, most LNG contracts were long-term bilateral agreements between an exporter and an industrial consumer (e.g. a power utility or chemical plant) that mandated the delivery of gas at a specific place, today, agreements are often shorter in duration and are increasingly being struck by intermediaries who then resell the gas to customers who are too small to economically contract directly with the exporters. Additionally, whereas LNG contracts were historically priced based on a spread to Brent crude, the growing divergence in the supply and demand characteristics of the two markets has led market participants to increasingly prefer to price LNG contracts on specific LNG markers such as TTF or Platts' Japan/Korea marker ("JKM"), a reference price for which ICE offers dedicated futures and options contracts.

Exhibit 6 – ICE Nat Gas Average Daily Volume ("ADV") Growth



Despite the sizable growth in ADV over the last few years, we think this market is still in its infancy. According to the Institute for Energy Economics and Financial Analysis, "nameplate LNG liquefaction capacity from projects that have already begun construction, or that are approved by financially capable backers, could add 193 million metric tons per year (MTPA) of new supply capacity from 2024 through 2028 – a 40% increase in five years." This will represent the fastest capacity growth in the industry's history (see Exhibit 7 below). Each new metric ton of LNG traversing the world represents an opportunity for a market participant to buy or sell futures and options. According to Cheniere Energy, LNG Trade is expected to double over the next five years (Exhibit 8 below). In fact, as the market matures, we are likely to see the rate of ADV grow even without growth in the volume of the underlying commodity. Churn, or the number of times a commodity is traded before it is delivered, in nat gas today remains well below that of oil markets (approximately 10% by our estimate). In fact, TFF churn is itself roughly half that of Henry Hub. Should this gap close, ADV could grow well in excess of the growth in underlying LNG supply and demand.

Exhibit 7 – Net Global LNG Supply Additions (MTPA)

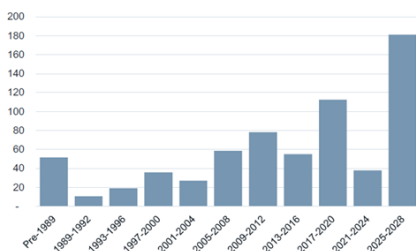
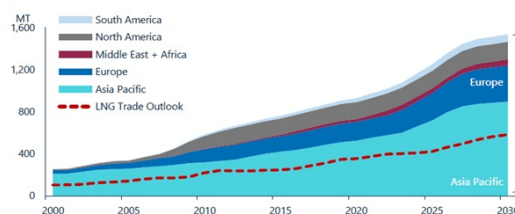


Exhibit 8 – Global Regasification Capacity & LNG Trade Outlook



There is no perfect mechanism for translating one's view of oil and gas end-market growth into futures and options trading volume. So, in the absence of precision, we apply what we view as a directionally accurate but conservative growth estimate for energy ADV. Following two years of 20% growth, we assume ADV moderates to 18% this year and 15% thereafter. (It's worth noting that energy ADV grew 24% in 1Q). On top of this, ICE should be able to realize a few percent per year in price increases. When we roll this up with our estimates for other elements of ICE's Exchange business, we think revenue should grow around 11% per annum for the next few years, an acceleration from the pre-Ukraine invasion rate of 5.5%. This compares to market expectations of 7%. Importantly, this revenue carries with it incremental margins of ~90%, which will drive operating margins to around 80% by 2027, from 75% today (consensus expects 73% in 2027).

- Despite the dislocation in the mortgage market, ICE has announced a number of sizeable customer wins in both origination and servicing over the last

18 months, the revenue of which will lead to an acceleration in recurring and transactional growth. Since closing the Black Knight acquisition, ICE has announced a bevy of new customer wins and cross-sales of their two primary platforms, Encompass (Ellie Mae's loan origination system) and MSP (Black Knight's mortgage servicing platform), that have yet to start contributing to revenue. Specifically, in the last six quarters, ICE has signed JPMorgan (the #4 loan originator), M&T Bank, Raymond James, Citizens Bank, Webster Bank, and more than 50 other customers to Encompass. We estimate the announced wins, once ramped, could add 6 points of market share, growing origination revenue by approximately 12%. At the same time, with the BKI deal now closed, ICE is beginning to land new MSP customers, including Fifth Third Bank, several credit unions, and homebuilder Lennar. 2023 was the second-best year of MSP sales since 2017 despite the deal leaving customers in limbo until September of that year. As of May, MSP had a record 94 clients, an additional 13 going through implementation, and by management's telling, the biggest pipeline in 5 years. The company is also doing a good job of cross selling its DDA ("Data & Document Automation") software into legacy MSP customers such as JPM. Our research suggests there are several forces at play here: 1) ICE is able to utilize its strong existing relationships and articulate a compelling value proposition based on an integrated product roadmap; 2) because of the dislocation in the mortgage market, many originators are looking for ways to become more efficient, and software is a key means of reducing labor costs; and 3) ICE is actively targeting customers of Black Knights Empower platform, which the FTC required Black Knight to divest in advance of the acquisition by ICE. Empower has historically had around 10% to 15% market share, comprised of 75 mostly large customers. These enterprise clients are exactly the sort of customers that 1) ICE has solid relationships with across other dimensions of its business, and 2) benefit most from the combined ecosystem of offerings ICE has to offer. Further, Constellation Software, Empower's new owner, has a reputation for starving its acquisitions of investment dollars to maximize free cash flow. ICE, by contrast, has committed to investing significant resources to modernize and integrate MSP and Encompass.

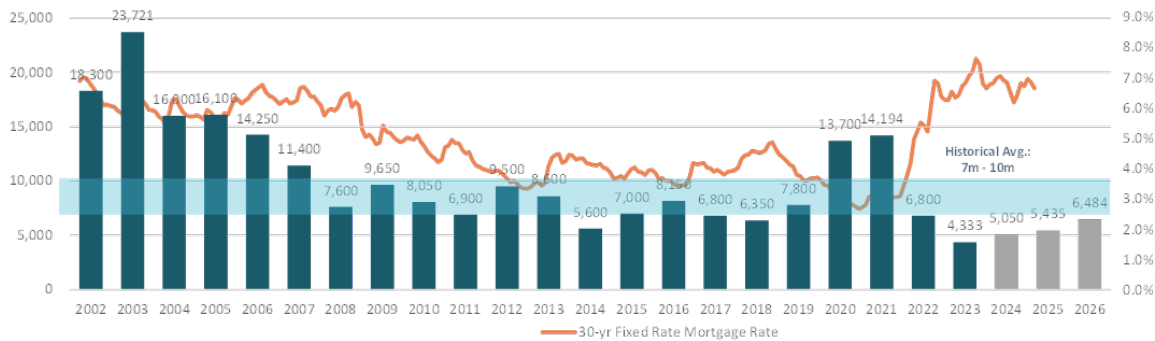
This sales success stands at odds with ICE's recent results, which showed pro forma Mortgage Tech recurring revenue down low-single-digits 4 of the last 5 quarters. The explanation for the discrepancy is threefold: 1) ICE is lapping several customer losses, two of which were acquired years before ICE acquired Black Knight and one of which was a standalone user of DDA (no Encompass or MSP) and moved on. 2) The implementation cycle for Encompass and MSP sales can be 6 to 18 months, and bigger customers (like what they've signed recently) can take even longer. The company has said these wins will drive revenue growth in 2025 and 2026. 3) On renewals, approximately 40% of clients opt for lower minimums (the recurring component of the contract) and higher per loan fees. This depresses revenue in a low-loan environment. That said, these renewals come with an increase in total contract value assuming a more typical level of industry loan originations.

Two weeks ago, Rocket Companies, the largest mortgage originator in the U.S. announced a deal to acquire Mr. Cooper, the largest mortgage servicer in the country. ICE currently provides mortgage servicing software to Rocket and origination software to Mr. Cooper. As part of the deal integration, Rocket will move its servicing volumes to Mr. Cooper's provider (Sagent) and move Mr. Cooper's origination software to Rocket's homegrown solution. This is the worst possible outcome for ICE and will be a negative 5% hit to recurring revenue, likely beginning in mid-2026.

We believe the recent customer wins should drive recurring Mortgage Tech revenue growth of around 7% over the next 3 years, up from the 1% CAGR over the last three. The Rocket/Cooper loss will knock the growth rate in 2026/2027 down to MSD, but the net will still be an acceleration over the last couple of years. Importantly, this level of growth does not require any rebound in industry-wide origination volumes.

- **ICE offers significant asymmetric leverage to a rebound in mortgage originations.** In Exhibit 9 below, we plot mortgage origination volumes (along with MBA estimates for the next 3 years) against the average U.S. 30-year fixed-rate mortgage rate. Originations in the post-GFC era peaked in 2020 and 2021 as homeowners locked-in generationally-low interest rates. Today, with mortgage rates as high as they've been since 2001, refinance ("refi") volumes have all but dried up, depressing mortgage originations to their lowest level in 25 years. Said differently, the key input to ICE's transactional Mortgage revenue is at a multi-decade low, making ICE a loaded spring with respect to the normalization of the mortgage origination market. When that normalization happens is obviously an impossible question to answer, particularly with the manic gyrations in rates over the last week and a half. Prior to "Liberation Day" the 30-year mortgage rate was as low as it has been in the last year, but where it goes from here is anyone's guess. That said, we can still make some assumptions about the future, whenever that may come. In 2024, mortgage originations were 5.0m, 40% below the 7m to 10m average experienced over the last 20 years. The Mortgage Bankers Association currently estimates originations will grow by just 700k loans, or 14% in 2025, and just a 10% CAGR through 2027. While it is impossible to know what the path of future mortgage rates will look like – and our crystal ball is certainly no better than anyone else's – we do think it is reasonable to assume origination volumes return to their historical average levels (the shaded blue area in the chart below) over the next several years. Should originations reach the 7.4m level by 2027, it would imply industry growth of approximately 13% per year over the next 3 years. If that happens, ICE's origination revenue should grow even faster on account of the customer wins described above and annual pricing escalators. Combined with the slower, albeit still attractive MSD growth in the recurring side of segment revenue, total ICE Mortgage Technology revenue could grow at a rate of 11%, above market expectations of 5%-8%. We believe this growth could carry with it incremental margins of around 90%, which would drive an increase in Mortgage Tech operating margins of 1,500bps in just three years.

Exhibit 9 – Annual Mortgage Origination Loan Counts (000s) vs. Mortgage Rates



- Investors Receive a Free Call Option on ICE's Ability to Innovate in the Mortgage Space.** Much as they have done with the exchanges and fixed income businesses, ICE's management sees an opportunity to monetize the vast amounts of data coming off its mortgage software platforms in novel ways. By capturing, synthesizing, and anonymizing the data used in the loan origination and servicing process, ICE can create data packages that it can then sell back to loan originators and various capital markets participants. Such data today forms 20% of ICE's Index business and carries high incremental margins (similar publicly-traded peers such as Verisk have EBITDA margins in excess of 50%). Longer-term, management has discussed the notion of creating a platform for the trading of mortgage servicing rights ("MSR"). These financial assets, which offer a predictable, low-risk revenue stream, are typically owned by banks, credit unions, and specialty finance companies. Today, the process of buying and selling MSRs is cumbersome and subject to in-depth due diligence. ICE believes it can use its data (Black Knight's MSP is used to service 55% of MSRs in the market) to create a clearinghouse of sorts similar to what it has done for the trading of futures and options, thus eliminating the counterparty risk inherent in each transaction and paving the way for MSRs to be traded on an exchange rather than in bilateral deals like they are today. This opportunity is still years away, but is compelling nonetheless. There are approximately \$14tn of MSRs outstanding in the U.S., with approximately \$1tn trading hands last year. If ICE were to earn even 5bps on a market of this size, it could result in hundreds of millions of dollars of incremental revenue. We do not explicitly bake these revenue streams into our forecasts, but look forward to the company making progress toward this exciting future.

Estimates and Valuation

We estimate consolidated revenue should grow in the 9% range in the near to medium term. Given the largely fixed cost nature of ICE's business and the cost-cuts described above, we expect operating income growth to outpace that of revenue, resulting in margin expansion of 600+ hundred basis points over the coming years. With cash flow being largely used to pay down debt in the coming years, EPS will grow even faster still, approximately 17% per year over the next 3 years. On our assumptions, we are 11% above consensus estimates in 2026 and 18% in 2027. At 25x our \$8.34 (2026) estimate, shares could be worth \$208 (34% above current levels) and compound in the mid- to high-teens thereafter.

Risks

- The mortgage origination market stays depressed for longer. While we believe there are good reasons to think mortgage rates will start to moderate and origination volumes will pick-up – and there is evidence both are doing so already – we are seemingly just one irregular jobs or CPI release away from the market manically reversing its mind about the future path of interest rates. That said, we think a rebound in origination volumes is a matter of when, not if. And in the meantime, originations are unlikely to go lower, meaning that the growth in recurring revenue from market share gains should still drive an improvement in overall Mortgage Tech revenue even if it takes longer for the cyclical rebound to materialize.
- Nat gas and Brent futures and options volumes subside. Although we have reasons to believe ADV growth remains at elevated levels, it is true that Energy ADV is already at levels approximately 45% above its 5-year average. A cessation of hostilities in Ukraine or the Middle East could reduce global volatility in energy prices, which could impact ADV. Likewise, a slowly of global economic activity could slow the pace of LNG flows. While we believe the structural growth in energy markets will ultimately outweigh any such near-term headwinds, ICE could experience an air pocket in its results in which Exchange revenue declines and carries with it high decremental margins.
- The Black Knight integration could take longer to complete than expected. Given ICE is already tracking ahead of its stated targets on cost synergies and revenue synergies appear on plan or perhaps ahead given numerous customer wins, this risk seems remote, though that could always change. Our research suggested both Ellie Mae and Black Knight had clunky old tech stacks, so it's possible problems could arise as they are integrated. Management has been investing in Ellie Mae's platform for 4 years now, and they've committed to investing to modernize Black Knight's as well, but there is always risk such projects are slower to complete or cost more than expected.

Disclaimer:

This write-up is intended for informational purposes only and you, the reader, should not make any financial, investment, or trading decisions based upon the author's commentary. Although the information set forth above has been obtained or derived from sources believed to be reliable, the author does not make any representation or warranty, express or implied, as to the information's accuracy or completeness, nor does the author recommend that the above information serve as the basis of any investment decision. Before investing in a security, readers should carefully consider their financial positions and risk tolerances to determine if such a stock selection is appropriate. At any time, the author of this report may trade in or out of any securities that are mentioned in the report as long or short positions in his own personal portfolio or in client portfolios that he manages without disclosing this information.

This report's estimated fundamental value only represents a best efforts estimate of the potential fundamental valuation of a specific security, and is not expressed as, or implied as, assessments of the quality of a security, a summary of past performance, or an actionable investment strategy for an investor. This is not an offer to sell or a solicitation of an offer to buy any security.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

The biggest potential catalyst is that a decline in long-rates initiates a mortgage refinancing wave that accelerates the Mortgage Tech side of the thesis. Beyond that, continuing to beat on ADV over the next several quarters should illustrate to investors that the energy-related ADV growth story has longer legs than the market is giving ICE credit for.

Messages

Subject CEO
Entry 04/16/2025 03:02 PM
Member finn520

Thanks for the writeup. Jeff Sprecher, CEO, is a very smart guy who has done a tremendous job over time.

I listened to this relatively short book recently, Zero-Sum Game, on the 2007 acquisition fight for CBOT between ICE and CME, which CME ultimately won. There is some good general background on the industry/management for those interested.

https://www.audible.com/pd/Zero-Sum-Game-Audiobook/1469084376?qid=1744830002&sr=1-140&ref_pageloadid=hoJEP5XFb7GCCHLe&pf_rd_p=83218cca-c308-412f-bfcf-90198b687a2f&pf_rd_r=EMN37VEW60A686EEP30&plink=OuuTHx0DdxTnaxA4&pageLoadId=6DSaP764xkP6j4KC&creativeld=0d6f6720-f41c-457e-a42b-8c8dceb62f2c&ref=a_search_c3_lProduct_3_40

Subject Updated thoughts here?
Entry 11/11/2025 12:56 PM
Member Rtg123

Stock has sold off ~20% over last few months. I think its mostly due to weak transaction revenues. 3Q transaction revenue was down 1% and exchange energy volumes were pretty disappointing. It does look like exchange October volumes got better. Separately, they sort of guided Mortgage revenues up ~4% in 2026 if consensus mortgage applications holds, which is a little weaker than I wouldve thought. Stock isn't exactly cheap at 20x 2026 earnings but not expensive either in a market where everything is expensive.

Subject Re: Updated thoughts here?
Entry 11/20/2025 12:20 PM
Member FishTaco

Apologies for the slow response on this. Long story short, I think the stock is attractive at current levels. The sell-off of the last few months was sensical in light of softening energy volumes and the very public loss of PennyMac on the origination side of the Mortgage business. Additionally, as investors look out to 2026, I think there is concern about ICE's ability to grow-over the difficult Energy comp in the first half, as well as the less-than-enthusiastic mortgage soft guide. Beyond that, ICE, along with the rest of the exchanges, have been sold in favor of more risk-on bets. So for the last few months, ICE has been a bad house in an unloved neighborhood. That said, I think for anyone with more than a couple of quarters of duration, the opportunity is increasingly attractive given:

The softness in Energy ADV is likely temporary. Over the short-term trading volume tends to be a function of market volatility - tariffs led elevated volatility in 1H25, but 3Q, with a stabilizing economic outlook and few hurricanes, had low output. But over the medium to long-term it is a function of the amount of nat gas & crude oil circulating the globe, the number and frequency of parties transacting in it, and market share gains/losses. I think it's relatively easy to have conviction in the long-term ADV story for ICE, particularly regarding LNG which is a material driver of ICE's energy complex. If we look at LNG, for example, the latest U.S. EIA data has LNG export capacity growing 80% between now and the end of 2030, implying a 13% CAGR. This is on announced and financed projects. If flows of LNG are growing at 13%, ADV should grow in excess of that as growing market breadth should lead to increased churn. But we must also be mindful of the short-term. I can't tell you what volumes will be this month or next, but I know three things to be true: 1) ICE's total open interest has continued to grow upwards of 30% y/y the last few months, materially decoupling from ADV growth, which has slowed to flat. This impliest there is pent up demand/capital sitting ready to be put to work. 2) ICE has continued to gain share from CME in all the places that matter. and 3) consensus estimates for 1Q/2Q ADV have been moving lower, de-risking the stock. (I suspect the buy-side is already below the sell-side).

The outlook for Mortgage is improving rapidly. ICE Mortgage revenue is on track to grow 4% this year. Coming into the year, they said that if the industry was flat, ICE would grow LSD, and if industry volumes are up low-teens, ICE would grow HSD. They said that general framework still holds for 2026, but my analysis suggests that 1) there is actually more upside to 2026 agnostic of market trends; and 2) we can see in the data that 2026 is shaping up to be a far better year for industry originations than 2025. Let's unpack both.

Apples-to-apples growth:

1) As of 2Q, ICE said they'd implemented ~20% of the backlog of announced wins. They indicated to me that number didn't change materially in 3Q. JPM, their largest individual win, has only gone live on Encompass for its correspondent channel (not retail) and has only moved a small amount of volume onto the platform thus far. More will come in 2026. Fifth Third, another recent win, was supposed to go live in 4Q25 but pushed to 1Q given their acquisition of Comerica. Plenty of other wins will start to contribute over the course of the next year, and my bet is that it is a larger pool than what came online in 2025.

2) The resetting of contract minimums was a "more than couple of points" headwind to 2025. Let's assume 3%. Mgmt has said that will ease in 2026. I assume it eases to a 1% headwind. It's sensical that this headwind is dissipating given most contracts restruct in the boom years of 2020 and 2021 have now renewed; and 2) origination volumes have picked up of late, meaning the floor at which renewals reset is likely higher than it was 3 months ago.

3) Pricing on contracts reset at lower minimums is "better than inflation", which should equate to a fee per origination being up well

above that (I assume HSD). Because the value of the contracts has shifted from minimums to transactions, none of that juice has been flowing into revenue while volumes have been depressed. But when volume returns (which as I write below, I believe will happen in 2026), that pricing benefit will start to show through.

4) the offset to all these tailwinds is the three announced customer losses. Flagstar is a 1% annualized headwind starting in 4Q25. Rocket/Cooper is a 3% revenue drag (I assume 2% headwind to 2026 and 1% to 2027). PennyMac will be a 0.5% headwind but won't start until 2028.

When I net these all out, I think the reduction in minimums largely cancels out the customer losses, and we are left with some benefit from new customer adds and possibly pricing.

Industry Growth

The crucial thing to appreciate is that, even if we assume the apples-to-apples growth for Mortgage is flat to last year, we are shaping up to have a vastly better industry backdrop. Looking at the MBA's weekly mortgage application index, 4Q QTD applications are tracking to +51% y/y, an acceleration from +24% in 3Q. This level is 50% above the average run-rate of the last 3 years. This is being driven by refi volumes, which have spiked as interest rates have come down. (<https://www.mortgagenewsdaily.com/data/mortgage-applications>).

Assuming no change in rates (and obviously the bias is likely lower over the next year), if refi volumes hold at the current level, then industry originations would be +24% in 2026, double the high end of mgmt's soft guidance framework.

On valuation, ICE now trades for 20.3x consensus 2026 numbers. Over the last decade it averaged just under 20x, but most of that time didn't include the mortgage business, which should be multiple enhancing. It's peers trade for ~23x. I think 25x is a reasonable multiple to put on it given the secular growth story in Energy and secular and cyclical dynamic at work with Mortgage. And looking out a couple of quarters, when both of these businesses are rowing in the same direction, the stock will likely reflect that.

Subject
Entry

Re: Re: Updated thoughts here?
05/27/2026 09:28 PM

Member

gtwt

ICE continued underperformance since this great write-up (and against the market), despite what looks like a multi-year pick up in energy trading, is perplexing. The multiple is close to historical lows.



The recent concerns I've gathered are that AI could hurt the Encompass mortgage business, mortgage activity is weakening as rates stay high, some big customer rollouts are taking longer than expected, and people aren't convinced the recent spike in energy trading volumes is sustainable.

Anything I am missing?